

1.

Commercial banks provide financial services for both individuals and businesses. In 2007–08, the financial crisis led many to argue for tighter regulation of the banks to prevent problems in financial markets affecting the real economy. However, financial markets are not the only source of cyclical instability. Governments can use a variety of policies to try to create a more stable economy.

Assess policies which can be used to reduce cyclical instability in the UK.

[25 marks]

2.

‘George Osborne talks about boosting exports and rebalancing the economy, but the Chancellor is not nearly as worried about the trade deficit as he is about the budget deficit.’

To what extent do you agree that a persistent trade deficit is more damaging to the UK’s macroeconomic performance than a persistent budget deficit? Justify your answer.

[25 marks]

3.

‘George Osborne talks about boosting exports and rebalancing the economy, but the Chancellor is not nearly as worried about the trade deficit as he is about the budget deficit.’

Explain the factors which are likely to cause a large budget deficit.

[15 marks]

4.

The Office for Budget Responsibility (OBR) forecast that government spending would account for 36% of GDP by 2020 compared to 45% of GDP in 2010.

To what extent do you regard a contraction of the public sector to be beneficial for the UK economy? Justify your answer.

[25 marks]

5.

Extract F (lines 4 – 6) states: ‘some are now arguing that further improvements in the unemployment statistics can only be gained through improvements in the supply-side of the economy, rather than relying on demand.’

To what extent do you agree that a further reduction in the UK’s unemployment rate is most likely to be achieved by improvements in the supply-side rather than the demand-side of the economy? Use the data and your own knowledge of economics, to justify your answer.

[25 marks]

6.

It is now nearly a decade since the financial crisis caused a recession in the UK. In March 2009, the Monetary Policy Committee (MPC) set the UK Bank Rate at 0.5%, which was a record low, in order to stimulate economic growth.

Discuss the importance of low interest rates in bringing about sustained economic growth in an economy such as the UK.

[25 marks]

7.

The national debt is the

- A annual budget deficit plus the external trade deficit.
- B amount by which the budget deficit increases each year.
- C annual difference between government spending and tax receipts.
- D the cumulative stock of outstanding central government borrowing.

☐
☐
☐
☐

[1 mark]

8.

The Office for Budget Responsibility (OBR) forecast that government spending would account for 36% of GDP by 2020 compared to 45% of GDP in 2010.

Explain the economic reasons for government spending.

[15 marks]

9.

The table below shows the marginal income tax rates in an economy for 2016.

Table: Marginal income tax rates for every \$1 of income

Taxable Income	Income tax rates 2016
From \$0 to \$10 000	0%
From \$10 001 to \$30 000	10%
From \$30 001 to \$50 000	30%
\$50 001 and above	45%

How much income tax would be payable by someone earning \$40 000 in 2016?

- A \$5 000
- B \$5 500
- C \$10 000
- D \$12 000

☐
☐
☐
☐

[1 mark]

- 10.** The Government has ruled out the possibility of a rise in VAT before 2020 but other indirect taxes may increase. It has also stated that the personal income tax allowance will be increased from £10 800 in 2015/16 to £12 500 by 2020, and plans to cut the main rate of corporation tax from 20% to 17%.

Evaluate the economic consequences for the UK economy of a significant shift in the burden of taxation from direct taxes to indirect taxes.

[25 marks]

- 11.** The Government has ruled out the possibility of a rise in VAT before 2020 but other indirect taxes may increase. It has also stated that the personal income tax allowance will be increased from £10 800 in 2015/16 to £12 500 by 2020, and plans to cut the main rate of corporation tax from 20% to 17%.

Explain how changes in both government spending **and** taxation might affect the level of economic activity.

[15 marks]

- 12.** **Extract F** (lines 19–20) states ‘What is not clear is what should be done if low inflation turns to bad deflation.’

Using the data in the extracts and your knowledge of economics, evaluate the view that monetary policy is the most effective way of tackling deflation in developed economies such as the UK and Japan.

[25 marks]

- 13.** The UK has seen significant changes in its pattern of trade with the rest of the world in terms of what we trade and with whom. The UK’s current account deficit widened from £29.1bn in 2011 to £100.2bn in 2015. The deficit in 2015 was 5.4% of GDP, the largest annual deficit as a percentage of GDP since records began in 1948.

Evaluate the measures that might be taken to reduce a deficit on the current account of the UK’s balance of payments.

[25 marks]

- 14.** Between 2011 and 2016, UK unemployment fell from a high of 8.5% to 4.8%. Some argue that government attempts to reduce unemployment inevitably lead to trade-offs with other macroeconomic policy objectives.

Discuss the view that falling unemployment will inevitably lead to trade-offs with other macroeconomic policy objectives.

[25 marks]

- 15.** **Extract C** (lines 2–3) states ‘More recently, India has begun to use more market-based strategies to help its development, including liberalising trade and privatisation.’

Using the data in the extracts and your knowledge of economics, evaluate the view that greater use of market-based strategies is the best way to improve the economic development of India.

[25 marks]

16.

Extract B (lines 17–19) states ‘India still protects its economy with anti-dumping measures and export subsidies that are designed to promote economic growth.’

With the help of a diagram, explain how export subsidies may help promote economic growth in India.

[9 marks]

17.

At the start of the financial year, an economy’s national debt stands at £1000 billion. Over the course of the year, the government plans to spend an extra £100 billion and borrow an extra £40 billion.

If the government achieves its spending and borrowing targets, by the end of the financial year the national debt will have increased by

A 4%

☐

B 10%

☐

C 14%

☐

D 40%

☐

[1 mark]

18.

Which one of the following is most likely to cause an increase in the structural budget deficit?

A A fall in income tax receipts in the downturn of the economic cycle

☐

B A rise in government spending on unemployment-related benefits during a recession

☐

C A rise in healthcare expenditure and state pension provision due to an ageing population

☐

D A rise in spending on imports during an economic recovery

☐

[1 mark]

19.

In the 2016 Autumn statement, the UK Chancellor of the Exchequer, Philip Hammond, officially abandoned the government's policy of trying to achieve a budget surplus by 2020. While some criticise the government for failing to achieve its fiscal target, others argue that the government should be doing more to help the supply side of the economy.

Explain how fiscal policy can be used to try to improve the supply side of an economy.

[15 marks]

20.

The table below shows different combinations of changes in the rate of interest and the government's budget position. The economy has a negative output gap. All other things being equal, which one of the combinations of policies, **A**, **B**, **C** or **D**, is most likely to reduce the economy's negative output gap?

	Rate of interest	Government's budget position
A	Increase	Decrease in surplus
B	Decrease	Increase in surplus
C	Increase	Decrease in deficit
D	Decrease	Increase in deficit

☐☐☐☐

[1 mark]

21.

INVESTIGATION**Scenario**

You are an economist working for the Ministry of Housing, Communities and Local Government (MHCLG).

You have been asked to investigate the state of the UK housing market.

As part of this investigation, you are to provide answers to three questions.

Referring to the **Extracts A**, **B**, **C** and **D**, use them and your knowledge of economics to help you answer this question.

After considering **Extract E**, and the original evidence in **Extracts A**, **B**, **C** and **D**, would you recommend that the Government should increase its spending on housing? Justify your recommendation.

[25 marks]

22.

Which one of the following is correct for a proportional tax on income?

A The amount of tax paid increases as income increases

☐

B The marginal rate of tax is lower than the average rate

☐

C The average rate of tax falls as income increases

☐

D The average rate of tax is lower than the marginal rate

☐

[1 mark]

23.

INVESTIGATION

Scenario

You are an economist working for an organisation which investigates ways to improve the standard of living of UK citizens.

You have been asked to review changes in living standards and inequality since the 2007–2008 financial crisis.

As part of this investigation, you are to provide answers to the following question.

Study **Extracts A, B, and C**, and then use these and your knowledge of economics to help you answer this question. There is also a news report, **Extract D**, which is to be used with the other extracts to help you answer this question.

After considering **Extract D**, and the original evidence in **Extracts A, B and C**, would you recommend that the government implement a further substantial increase in the National Living Wage? Justify your recommendation.

[25 marks]

24.

All other things being equal, which one of the following is most likely to increase the national debt?

- A Foreign companies increasing their direct investment into the economy ☐
- B The central bank using its reserves of foreign currency to fund a trade deficit ☐
- C The government reducing its budget surplus by increasing its expenditure on infrastructure ☐
- D The government running a budget deficit, financed by selling bonds to foreign investors ☐

[1 mark]

25.

In 2017, the UK's annual budget deficit was 2.3% of GDP, the lowest level since 2001. In 2017, the UK's deficit on the current account of the balance of payments fell to 3.3% of GDP, the lowest level since 2011.

To what extent do you agree that reducing the budget deficit is more important to the UK's macroeconomic performance than reducing the current account deficit on its balance of payments? Justify your answer.

[25 marks]